HIGHER LEVEL

1. (A) Company - Final Accounts — 120 MARKS

(a) Trading, Profit & Loss Account of Min Jee Ltd for the year ended 31/12/2021 (1) (70 marks)

	Working		€		€		€
Sales						(3)	610,050
Less Cost of sales							
Opening stock					26,500	(2)	
add Purchases		1			344,000	(5)	
					370,500		
Less Closing stock		2			(13,400)	(4)	
Cost of Sales							357,100
Gross Profit							252,950
Less Expenses:							
Administrative Expenses	***						
Salaries & general expenses		7	126,150	(4)			
Patent write-off		3	9,400	(3)			
Audit fees			22,000	(3)			
Loss on damaged stock		8	350	(3)			
Depreciation on buildings		9	13,000	(3)	170,900		
Selling & Distribution Expenses		***					
Advertising		11	3,600	(3)			
Bad debt		12	3,600	(3)			
Sales commission		13	8,402	(3)			
Depreciation - delivery van		14	25,250	(4)	40,852		
Total Expenses							(211,752)
							41,198
Add Operating Income							
Decrease in bad debt provision		5			950	(4)	
Discount received					1,280	(3)	
Profit on disposal of delivery van		6			2,000	(4)	4,230
							45,428
Investment income receivable		4				(3)	4,000
Debenture interest payable		10				(4)	(14,500)
Net Profit							34,928
Less Dividends paid						(3)	(24,000)
Retained Profit							10,928
Profit & loss balance 01/01/2021						(3)	56,270
Profit & loss balance 31/12/2021						** (2)	**67,198**

** correct figure only

(b) Balance Sheet of Min Jee Ltd as at 31/12/2021 **(50 marks)**

	Working	€ Cost		€ DEP		€ NBV	Total
Intangible Fixed Assets							
Patents	3						37,600 **(3)**
Tangible Fixed Assets							
Land & buildings		1,000,000	**(1)**	0		1,000,000	
Delivery vans	15 & 20	130,000	**(3)**	45,750 **(3)**		84,250	
		1,130,000		45,750		1,084,250	1,084,250
Financial Assets							
4% Investments							200,000**(2)**
							1,321,850
Current Assets							
Stock ****	2			13,400 **(1)**			
Debtors	16			30,400 **(4)**			
Insurance compensation due	8			2,000 **(2)**			
Investment income due	4			800 **(2)**			
Advertising prepaid	11			14,400 **(2)**		61,000	
Less Creditors: amounts falling due within one year							
VAT				3,500 **(2)**			
Creditors	18			25,440 **(4)**			
Bank	17			23,810 **(4)**			
Sales commission due	13			8,402 **(3)**			
Debenture interest due	10			7,500 **(2)**		68,652	
Working Capital							(7,652)
Total Net Assets							**1,314,198**

FINANCED BY:					
Creditors: amounts falling due after more than one year					
6% Debentures					250,000 **(2)**
Capital and Reserves		**Authorised**	**Issued**		
Ordinary shares @ €1 each	**(1)**	1,000,000	650,000	**(1)**	
6% Preference shares @ €1 each	**(1)**	500,000	100,000	**(1)**	
		1,500,000	750,000		
Revaluation reserve	19		207,000	**(2)**	
Capital reserve			40,000	**(2)**	
Revenue reserves (profit & loss balance 31/12/2021)		****	67,198	**(2)**	1,064,198
Capital Employed					**1,314,198**

**** *award marks if consistent with student's figures from P&L account*

Workings *(with breakdown of individual marking scheme)*

**** Penalise 1 mark each for the omission of two headings, Administrative and Selling & Distribution expenses in the Profit & Loss Account [max 2 marks].*

Penalise 1 mark for omission of the word Authorised Capital in the Balance Sheet.

1	Purchases	378,450 - 9,600 - 22,500 - 2,350	[1+1+1+2] **(5)**	344,000
2	Closing stock	23,800 -3,200 + 2,400 - 9,600	[1+1+1+1] **(4)**	13,400
3	Patents	45,000 + 2,000 - 9,400	[1+1+1] **(3)**	37,600
	Patent write-off	[45,000 + 2,000] / 5	[1+1+1] **(3)**	9,400
4	Investment income receivable	[200,000 x 4% x 6/12]	**(3)**	4,000
	Investment income due	4,000 - 2,000 - 1,200	[1+1] **(2)**	800
5	Decrease in bad debt provision	2,550 - 1,600 [32,000 x 5% = 1,600]	[2+2] **(4)**	950
6	Profit on disposal	30,000 - 19,500 - 12,500	[1+2+1] **(4)**	2,000
7	Salaries & general expenses	123,350 + 2,800 (suspense)	[2+2] **(4)**	126,150
	Suspense	5,200 - 2,400 = 2,800		
8	Loss on damaged stock *	2,350 - 2,000	[1+2] **(3)**	350
	Insurance compensation due		**(2)**	2,000
9	Depreciation on buildings	[850,000 - 200,000] x 2%	**(3)**	13,000
10	Debenture interest payable	[150,000 x 6%] + [100,000 x 6% x 11/12]	[2+2] **(4)**	14,500
	Debenture interest due	[14,500 - 7,000]	[1+1] **(2)**	7,500
11	Advertising	18,000 - [18,000 x 12/15]	[1+2] **(3)**	3,600
	Advertising prepaid	18,000 x 12/15	[1+1] **(2)**	14,400
12	Bad debt	6,000 x 60%	**(3)**	3,600
13	Sales commission	[610,050 - 400,000] = 210,050 x 4%	[2+1] **(3)**	8,402
	Sales commission due		**(3)**	8,402
14	Depreciation on delivery van	[125,000 x 20% x 9/12] + [130,000 x 20% x 3/12]	[2+2] **(4)**	25,250
15	Delivery vans at cost	125,000 + 35,000 - 30,000	[1+1+1] **(3)**	130,000
16	Debtors	(38,000 - 2,400 - 3,600) - 1,600	[1+1+1+1] **(4)**	30,400
17	Bank	-27,500 + 2,400 + 1,200 + 90	[1+1+1+1] **(4)**	-23,810
18	Creditors	29,750 + 5,200 - 9,600 + 90	[1+1+1+1] **(4)**	25,440
19	Revaluation reserve	150,000 + 57,000	[1+1] **(2)**	207,000
20	Accum. depr. - delivery vans	40,000 + 25,250 - 19,500	[1+1+1] **(3)**	45,750

** Award marks if loss on damaged stock is included in salaries and general expenses*

Supplementary page(s) to explain workings

1 Stock

	€	
Closing Stock	23,800	
- Original Cost	-3,200	
+ Net Realisable Value	2,400	
	23,000	
- Sale or Return (note 4)	-9,600	i.e. 12,000 x 100/125
	13,400	**Trad & BS**

2 Suspense A/C

		Difference	2,800
Creditors	5,200	Interest payable	2,400
	5,200		5,200

Interest Payable A/C

Bal b/d	4,600		
Suspense	2,400	Bal c/d **	7,000
	7,000		7,000
Bal b/d	7,000		

*** (150,000 x 6% x 6/12) + (100,000 x 6% x 5/12) = 7,000*

Creditors A/C

		Bal b/d	29,750
Bal c/d	34,950	Suspense	5,200
	34,950		34,950
		Bal b/d	34,950

Salaries and General Expenses A/C

Bal b/d	123,350		
Suspense - difference	2,800	Bal c/d	126,150
	126,150		126,150
Bal b/d **P & L**	**126,150**		

3 Patents

Patents		45,000
+ 3 mths Inv. income		2,000 200,000 x 4% x 3/12 (to note 10)
		47,000
- 5 year write-off to P&L	**P&L**	9,400
		37,600 BS

4 Creditors A/C

Sale/return	9,600	Bal b/d	34,950
Bal c/d	25,350		
	34,950		34,950
		Bal b/d	25,350

Purchases A/C

Bal b/d	378,450	Sale or return	9,600
		Bal c/d	368,850
	378,450		378,450
Bal b/d	368,850		

5

Delivery Van A/C

Bal b/d		125,000	Disposal	30,000	
Trade In		12,500			
Purchases error		22,500	Bal c/d	130,000	
		160,000		160,000	
Bal b/d	**BS**	130,000			

Provision for Depreciation A/C

** Disposal		19,500	Bal b/d	40,000	
Bal c/d		45,750	P & L	25,250	***
		65,250		65,250	
			Bal b/d	45,750	**BS**

*** *125,000 x 20% x 9/12*	=	*18,750*
130,000 x 20% x 3/12	=	*6,500*
		25,250

*** 30,000 x 20%= 6,000 x 3 3/12 yrs = 19,500*

Disposal A/C

Van		30,000	Depreciation	19,500
Profit to P & L	**P&L**	2,000	Allowance	12,500
		32,000		32,000

Purchases A/C

Bal b/d	368,850	Error Van A/c	22,500
		Bal c/d	346,350
	368,850		368,850
Bal b/d	346,350		

6 **Advertising**

Advertising paid		18,000	
- amount prepaid		-14,400 *18,000 x 12/15 = BS*	14,400
	P/L	**3,600**	

7 **Reconciliation of Bank**

Bank A/C

Debtors	2,400	Bal b/d	27,500	
Investment income	1,200			
Cheque error creditors	90			
Bal c/d	23,810	Bal b/d		
	27,500		27,500	
		Bal b/d	23,810	**BS**

Bank Reconciliation Statement

	€	€	
Balance per Bk Statement		-25,650	
Add: Lgts not yet credited		2,800	
		-22,850	
Less: Cheque not presented		-960	
Balance per Bank A/C		-23,810	**BS**

Investment Income A/C

		Patents error	2,000
Bal c/d	3,200	Bank	1,200
	3,200		3,200
		Bal b/d	3,200

Debtors A/C

Bal b/d	38,000	Bank (CT)	2,400
		Bad Debt	3,600
		Bal c/d	32,000
	38,000		38,000
Bal b/d	32,000		

Bad Debt A/C

Debtors	**P&L**	3,600	

Creditors A/C

		Bal b/d	25,350
Bal c/d	25,440	Chq error	90
	25,440		25,440
		Bal b/d	25,440 **BS**

8 Damaged Stock

Purchases A/C

Bal b/d		346,350	Damaged Stock	2,350
			Bal c/d	344,000
		346,350		346,350
Bal b/d	**Trad**	344,000		

Insurance Compensation (due) A/C

Damaged Stock	**BS**	2,000	

Damaged Stock A/C

Purchases	2,350	Compensation	2,000
		Loss to **P & L**	350
	2,350		2,350

9 Land & Buildings

Land & Buildings A/C

Bal b/d		850,000			
Reval Reserve		150,000	Bal c/d		1,000,000
		1,000,000			1,000,000
Bal b/d	**BS**	1,000,000			

Provision for Depreciation A/C

Reval Reserve		57,000	Bal b/d		44,000
Bal c/d		0	P & L		13,000	****
		57,000			57,000
			Bal b/d		0	**BS**

** 650,000 x 2% = 13,000

Revaluation Reserve A/C

			Buildings		150,000
Bal c/d		207,000	Depreciation		57,000
		207,000			207,000
			Bal b/d		207,000	**BS**

10(i) Investment Income A/C

P & L	200,000 x 4% x 6/12	4,000	Bal b/d		3,200
			Bal c/d		800
		4,000			4,000
Bal b/d	**BS**	800			

Interest Payable A/C

Bal b/d		7,000	P & L	**	14,500
Bal c/d		7,500			
		14,500			14,500
			Bal b/d		7,500	**BS**

*** (150,000 x 6%) + (100,000 x 6% x 11/12) = 14,500*

10(ii) Provision for Bad Debts A/C

P & L	[decrease]	950	Bal b/d		2,550
Bal c/d	[32,000 x 5%]	1,600			
		2,550			2,550
			Bal b/d		1,600

Debtors	32,000	
Less Bad Debt Provision	-1,600	**BS**
	30,400	

10(iii) Sales Commission:

[610,050 - 400,000] = 210,050 x 4% = 8,402 **P&L BS**

1(B) Final Accounts – Sole Trader — 120 MARKS

* *Deduct one mark for each heading omitted from P & L A/C.*
** *No marks lost for order of P & L A/C, i.e. income before or after expenses*
*** *Mortgage interest can be included as Administration expense*

(a) Trading, Profit & Loss Account of Gus Flynn for the year ended 31/12/2021 (1) (70 marks)

	Working		€		€	€	
	Sales			(2)		570,000	
	Less Cost of Sales						
	Opening Stock			(3)	26,500		
	add Purchases	1		(6)	322,500		
					349,000		
	Less Closing Stock	2		(4)	(44,800)		
	Cost of Sales					(304,200)	
	Gross Profit					265,800	
**	**Other Income**						
	Profit on Disposal of Equipment****	3	200	(3)			
	Investment Income	4	2,200	(3)			
	Profit on disposal of van	9	10,250	(3)		12,650	
	Total Income					278,450	
*	**Administration Expenses**						
	Salaries & General Expenses		65,800	(2)			
	Insurance	19	12,850	(5)			
	Depreciation on Buildings	5	8,595	(4)			
	Depreciation on Office Equipment	6	1,800	(4)			
	Rent		4,500	(3)			
	Loss on Damaged Stock	7	250	(4)			
	Bank charges		125	(3)	93,920		
*	**Selling & Distribution Expenses**						
	Depreciation on Vans	8	15,750	(4)			
	Advertising		12,500	(3)			
	Commission		4,500	(3)			
	Discount allowed		150	(2)	32,900		
	Financial Expenses						
***	Mortgage Interest	10	20,000	(4)	20,000		
	Total Expenses					(146,820)	
	Net Profit			*correct figure only*		**131,630**	(4)

**** *Marks also awarded for Discount Received of €200 and no Profit on Disposal*

(b) Balance Sheet of Gus Flynn as at 31/12/2021 **(50 marks)**

		Working	€	€	€	€	
	Tangible Fixed Assets		**Cost**	**Acc Dep**	**NBV**		
	Buildings	**11**	500,000	0	500,000		**(3)+(2)**
	Delivery Vans	**12**	90,000	24,500	65,500		**(3)+(2)**
	Office Equipment	**13**	12,000	4,600	7,400		**(2)+(2)**
			602,000	29,100	572,900	572,900	
	Financial Assets						
	2% Investments					120,000	**(2)**
						692,900	
	Current Assets						
	Debtors	**14**	**(4)**	50,630			
	Stock	**2**	**(1)**	44,800	accept own figure		
	Investment Income due	**4**	**(2)**	2,200			
	Bank	**20**	**(4)**	31,055			
	Insurance Compensation due	**7**	**(2)**	3,750			
	VAT	**15**	**(3)**	22,125			
					154,560		
	Less Creditors: (amounts falling due within 1 year)						
	Creditors	**16**	**(3)**	87,435			
	PAYE/PRSI/USC		**(2)**	7,950			
	Mortgage Interest due	**10**	**(3)**	10,000			
					(105,385)		
	Working Capital					49,175	
	Total Net Assets					742,075	
	FINANCED BY:						
	Creditors: (amounts falling due after 1 year)						
	8% Fixed Mortgage			**(3)**		250,000	
	Capital			**(2)**	250,000		
	Revaluation Reserve	**17**		**(2)**	138,845		
add	Net Profit			**(1)**	131,630	accept own figure	
					520,475		
less	Drawings	**18**		**(2)**	(28,400)	492,075	
	Capital Employed					742,075	

Question 1 (B) – Workings
Breakdown of individual marking scheme:
Penalise 1 mark for the omission of two headings in the Profit & Loss Account and Revaluation Reserve after Net Profit in Balance Sheet.

				€
1.	Purchases	345,000 - 4,000 + 12,500 - 26,000 - 5,000	2+1+1+1+1	322,500
2.	Closing Stock	32,300 + 12,500	2+2	44,800
3.	Profit on Disposal of Equipment	4,000 -1,200 - 3,000	3	200
	Alternative: Discount received	3,000 - 2,800	3	200
4.	Investment Income	120,000 x 2% x 11/12	3	2,200
	Investment Income due	2,200	2	2,200
5.	Depreciation on Buildings	[450,000 - 20,250] x 2%	4	8,595
6.	Depreciation on Office Equipment	[16,000 - 4,000] x 15%	4	1,800
7.	Loss on Damaged Stock	4,000 - 3,750	2 + 2	250
	Insurance compensation due		2	3,750
8.	Depreciation on Vans	75,000 x 20% x 9/12 = 11,250 90,000 x 20% x 3/12 = 4,500	4	15,750
9.	Profit on disposal delivery van	25,000 - 21,250 - 14,000	1 + 1 + 1	10,250
10.	Mortgage Interest	[250,000 x 8%]	4	20,000
	Mortgage Interest due	20,000 - [9,400 + 600]	1 + 1 + 1	10,000
11.	Buildings	450,000 - 20,250 + 70,250	1+1+1	500,000
	Accum Deprec. on Buildings	60,000 + 8,595 - 68,595	2	0
12.	Delivery Vans	75,000 - 25,000 + 40,000	1+1+1	90,000
	Accum Deprec. on Del. Vans	30,000 + 15,750 - 21,250	2	24,500
13.	Office Equipment	16,000 - 4,000	1+1	12,000
	Accum Deprec. on Office Equip.	4,000 + 1,800 - 1,200	2	4,600
14.	Debtors	51,260 + 2,000 + 270 - 950 - 1,950 (bad debt provision)	1+1+1+1	50,630
15.	VAT	1,875 + 20,250	1 + 2	22,125
16.	Creditors	77,935 + 12,500 - 3,000	1 + 1 + 1	87,435
17.	Revaluation Reserve	70,250 + 68,595	1 + 1	138,845
18.	Drawings	23,400 + 5,000	1 + 1	28,400
19.	Insurance	12500 + (950-600) suspense	1 + 2 + 2	12,850
20.	Bank	33,450 - 2,000 - 125 - 270	1+1+1+1	31,055

WORKINGS – SOLE TRADER

Workings in T account format

1 Closing Stock:

		Initial value 31/12	32,300
	[15,000 x 100/120]	add Goods 'in Transit' (v)	12,500
			44,800 **Trad & BS**

Damaged Stock & Goods in Transit:

Purchases A/C

B/D	345,000	Damaged Stock	4,000
In Transit – Crs	12,500	C/D	353,500
	357,500		357,500
B/D	353,500	> *note 2*	

Damaged Stock A/C

Purchases	4,000	Insurance due	3,750
		Loss P/L	250
	4,000		4,000

Insurance Compensation due A/C

Damaged Stock	3,750	**BS**	

Creditors A/C

		B/D	77,935
C/D	90,435	In Transit – Purchases	12,500
	90,435		90,435
		B/D	90,435
			> *note 3*

2 Dep on Vans @ 20%

Delivery Van A/C

B/D	75,000	Disposal	25,000
Bank (Purchases error)	**26,000**		
Trade In	14,000	C/D	90,000
	115,000		115,000
B/D	90,000	**BS**	

Provision for Depreciation A/C

Disposal	21,250	B/D	30,000	
C/D	24,500	P & L *	15,750	
	45,750		45,750	
		B/D	24,500	**BS**

Disposal A/C

Van	25,000	Deprec. ***	21,250
Profit to P&L	10,250	Trade In	14,000
	35,250		35,250

***

25,000 x 20% =		5,000	*	
Yr	**months**	**dep**	**P & L Charge for 2021**	*****
2017	6	2,500	75,000 x 20% x 9/12	11,250
2018	12	5,000	90,000 x 20% x 3/12	4,500
2019	12	5,000		15,750
2020	12	5,000		
2021	9	3,750		
		21,250		

Purchases A/C

B/D (note 1)	353,500	**Van error**	**26,000**
		C/D	327,500
	353,500		353,500
B/D	327,500	> *note 7*	

3 Disposal of Office Equipment

Office Equipment A/C

B/D	16,000	Disposal	4,000
		C/D	12,000
	16,000		16,000
B/D	12,000	**BS**	

Provision for Depreciation A/C

Disposal	1,200	B/D	4,000	
C/D	4,600	**P&L**	1,800	
	5,800		5,800	
		B/D	4,600	**BS**

Disposal of Equipment A/C

Equipment	4,000	Depreciation	1,200
Profit to P&L	200	Creditors	3,000
	4,200		4,200

Creditors A/C

Disposal of Equip	3,000	B/D	90,435	
C/D	87,435			
	90,435		90,435	
		B/D	87,435	**BS**

4 Warehouse

Buildings A/C

B/D	450,000	1/1 Vat Error	20,250
		C/D	429,750
	450,000		450,000
B/D	429,750	> *to note 8*	

VAT A/C

B/D	1,875		
Buildings	20,250	C/D	22,125
	22,125		22,125
B/D	22,125	**BS**	

6

Bank A/C

B/D	33,450	D/H cheque	2,000
		Bank charges	125
		Drs cheque error	270
		C/D	31,055
	33,450		33,450
B/D	31,055	**BS**	

Bank Reconciliation Statement

	€	€
Balance per Bank statement		34,055
ADD:		
LESS: Cheque not presented		-3,000
Balance as per Bank account		31,055

Bank Charges A/C

Bank	125	**P&L**	

Debtors A/C

B/D	51,260		
D/H cheque	2,000		
Bank	270	C/D	53,530
	53,530		53,530
Bal b/d	53,530	*> to note 9*	

7 **Drawings**: 6,250 x 100/125 = 5,000

Purchases A/C

B/D (note 2)	327,500	Drawings	5,000
		C/D	322,500
	327,500		327,500
B/D	322,500	**Trad**	

Drawings A/C

B/D	23,400		
Purchases	5,000	C/D	28,400
	28,400		28,400
B/D	28,400	**BS**	

8

Buildings A/C

(note 4)	B/D	429,750		
	Reval. Res	70,250	C/D	500,000
		500,000		500,000
	B/D	500,000	**BS**	

Provision for Depreciation A/C

	Reval. Res	68,595	B/D	60,000
	Bal C/D	0	P & L (429,750 x 2%)	8,595
		68,595		68,595
			B/D	0 **BS**

Revaluation Reserve A/C

		31/12	Buildings	70,250	
C/D	138,845		Depreciation	68,595	
	138,845			138,845	
		B/D		138,845	**BS**

9

Suspense A/C

		Difference	350
Debtors	950	Mortgage Interest	600
	950		950

Mortgage Interest A/C

B/D	9,400		
Suspense	600	C/D	10,000
	10,000		10,000
B/D	10,000		

Debtors A/C

B/D	53,530	Suspense	950
		C/D	52,580
	53,530		53,530
B/D	52,580	**BS**	

Insurance A/C

B/D	12,500		
Suspense difference	350	C/D	12,850
	12,850		12,850
B/D	12,850	**P&L**	

10

Mortgage Interest A/C

B/D	10,000	**P & L**	**	20,000
C/D	10,000			
	20,000			20,000
		B/D		10,000 **BS**

** 250,000 x 8% = 20,000

Investment Interest A/C

P & L [120,000 x 2% x 11/12]	2,200	B/D	0
		C/D	2,200
	2,200		2,200
B/D	2,200	**BS**	

2. Revaluation of Fixed Assets — 60 MARKS

(a) **Land & Buildings A/C** **(13 marks)**

01/01/2017	Balance b/d **(1)**	500,000			
01/01/2017	Revaluation res **(2)**	200,000	31/12/2017	Balance c/d	700,000
		700,000			700,000
01/01/2018	Balance b/d	700,000	01/01/2018	Disposal **(2)**	200,000
			31/12/2018	Balance c/d	500,000
		700,000			700,000
01/01/2019	Balance b/d	500,000			
01/01/2019	Bank-Bldg **(1)**	150,000			
01/01/2019	Bank-Extension **(1)**	45,000			
01/01/2019	Bank-Wages **(1)**	20,000			
01/01/2019	Bank - Professional fees **(1)**	9,000	31/12/2019	Balance c/d	724,000
		724,000			724,000
01/01/2020	Balance b/d	724,000			
01/01/2020	Revaluation res **(2)**	181,000	31/12/2020	Balance c/d	905,000
		905,000			905,000
01/01/2021	Balance b/d	905,000	01/01/2021	Disposal **(1)**	625,000
01/01/2021	Revaluation res **(1)**	70,000	31/12/2021	Balance c/d	350,000
		975,000			975,000

Provision for Depreciation A/C **(20 marks)**

01/01/2017	Revaluation Res **(2)**	40,000	01/01/2017	Balance b/d **(3)**	40,000	W.1
31/12/2017	Balance c/d	10,000	31/12/2017	P & L **(1)**	10,000	
		50,000			50,000	
			01/01/2018	Balance b/d	10,000	
31/12/2018	Balance c/d	20,000	31/12/2018	P & L **(2)**	10,000	
		20,000			20,000	
			01/01/2019	Balance b/d	20,000	
31/12/2019	Balance c/d	34,480	31/12/2019	P & L **(2)**	14,480	W.2
		34,480			34,480	
01/01/2020	Revaluation res **(2)**	34,480	01/01/2020	Balance b/d	34,480	
31/12/2020	Balance c/d	18,100	31/12/2020	P & L **(2)**	18,100	
		52,580			52,580	
01/01/2021	Disposal W.3 **(2)**	12,500	01/01/2021	Balance b/d	18,100	
01/01/2021	Revaluation res. W.4 **(2)**	5,600	31/12/2021	P & L **(2)**	7,000	
31/12/2021	Balance c/d	7,000				
		25,100			25,100	

Revaluation Reserve A/C **(10 marks)**

			01/01/2017	Land & Buildings **(1)**	200,000
31/12/2017	Balance c/d	240,000	01/01/2017	Depreciation **(1)**	40,000
		240,000			240,000
01/01/2018	Revenue reserve **(2)**	100,000	01/01/2018	Balance b/d	240,000
31/12/2018	Balance c/d	140,000			
		240,000			240,000
31/12/2019	Balance c/d	140,000	01/01/2019	Balance b/d	140,000
			01/01/2020	Balance b/d	140,000
			01/01/2020	Buildings **(1)**	181,000
31/12/2020	Balance c/d	355,480	01/01/2020	Depreciation **(1)**	34,480
		355,480			355,480
01/01/2021	Revenue Res W.5 **(2)**	295,000	01/01/2021	Balance b/d	355,480
31/12/2021	Balance c/d	136,080	01/01/2021	Buildings **(1)**	70,000
			01/01/2021	Depreciation **(1)**	5,600
		431,080			431,080

Disposal (Land) A/C **(3 marks)**

01/01/2018	Land **(1)**	200,000	01/01/2018	Bank **(1)**	250,000
31/12/2018	Profit to P&L **(1)**	50,000			
		250,000			250,000

Disposal (Buildings) A/C **(4 marks)**

01/01/2021	Buildings **(1)**	625,000	01/01/2021	Depreciation **(1)**	12,500
31/12/2021	Profit to P&L **(1)**	87,500	01/01/2021	Bank **(1)**	700,000
		712,500			712,500

Repairs A/C **(2 marks)**

31/12/2020	Bank **(2)**	25,000

Revenue Reserve A/C **(extract)** **(2 marks)**

01/01/2018	Revaluation Res **(1)**	100,000
01/01/2021	Revaluation Res **(1)**	295,000

W.1 400,000 x 2% x 5 years = 40,000

W.2 500,000 + (150,000 + 45,000 + 20,000 + 9,000) x 2% = 14,480

W.3 [500,000 + 25%] = 625,000 x 2% x 1 yr = 12,500

W.4 [224,000 + 25%] = 280,000 x 2% x 1 yr = 5,600

W.5 625,000 - 400,000 = 225,000

Dep:	**2017**	40,000	
	2020 [500,000 x 2% x 3Yrs]	30,000	70,000
			295,000

(b) (i) Profit & Loss A/C (extract) for the year ended 31/12/2021 **(6 marks)**

	€
Administrative Expenses (Dep on Bldgs)	7,000 **(1)**
Other Operating Income (Profit on sale of Bldgs)	87,500 **(1)**

(ii) Difference between Capital expenditure and Revenue Expenditure

Capital expenditure refers to spending on items where the benefit derived is expected to last a long time, ie. greater than one year. **(1)**
Example(s): purchase of buildings €150,000, extension €45,000, architect's fees for extension €5,000, etc. **(1)**

Revenue expenditure is spending on items where the benefit derived is of a temporary nature, i.e. less than one year. **(1)**
Example(s): repairs €25,000, annual depreciation €7,000, etc. **(1)**

3. Club Account — 60 MARKS

(a) Accumulated Fund as at 01/01/2021 **(24 marks)**

		€	€
Assets:			
Clubhouse and course		800,000 **(1)**	
Machinery		75,000 **(1)**	
Bar stock		3,600 **(1)**	
Bar debtors		150 **(1)**	
Subscriptions due		2,500 **(2)**	
Investment interest due		550 **(1)**	
2% Investments	W.1	67,500 **(3)**	
Bank		7,000 **(2)**	
Levies due		1,250 **(2)**	
			957,550
Liabilities:			
Bar creditors		1,250 **(1)**	
Life membership		60,000 **(1)**	
Levy reserve fund		25,000 **(1)**	
Wages due		2,150 **(1)**	
Loan	W.2	60,000 **(2)**	
Loan interest due	W.2	2,800 **(2)**	
			151,200
Accumulated Fund 01/01/2021			806,350 **(2)***

(b) Income & Expenditure A/C of Sandwich Golf Club for the year ended 31/12/2021 (28 marks)

Income:		€	€
Bar profit	W.3	35,600 **(4)**	
Investment interest	W.1	1,350 **(2)**	
Subscriptions	W.4	82,750 **(7)**	
Entrance fees		24,000 **(1)**	
Sponsorship		12,000 **(1)**	
Catering profit	W.5	3,700 **(2)**	
Life membership write-off	W.6	4,800 **(2)**	
Competition profit	W.7	15,000 **(2)**	
			179,200
Expenses:			
General expenses	W.10	22,850 **(1)**	
Loan interest	W.2	3,200 **(2)**	
Depreciation:			
Machinery	W.8	16,500 **(1)**	
Clubhouse	W.9	4,000 **(1)**	
Total Expenses			46,550
Excess Income			132,650 **(2)***

* Accept correct figure only

(c) Advice from Treasurer to the Committee (8 marks)

(Any 2 of the following points at 4 marks each)

(i) The Club has a Bank balance of €140,200, it should consider investing much of this money in some form of an investment account in order to earn interest;

(ii) As the Club has Excess Income of €132,650, it may be worth considering ceasing the levy on members as the club does not need those funds;

(iii) Normally life memberships are offered to members if there is a shortage of funds and the club needs to get in a lot of money in the short-term. In the case of Sandwich Golf Club, it would appear that is not now necessary and should therefore cease offering them.

(iv) The club could consider reducing the annual subscription for members, which it could afford and may encourage more members to join.

\+ Any other logical point given by a student that makes sense.

Workings:

1. Investments:

Investment Interest		1,900 **(1)**
due @ 01/01		- 550 **(1)**
	I&E	1,350
> 1,350 / 2% =		€67,500 **(3)**

2. Loan + Loan Interest (15 months)

Loan: 15 months @ 8% pa = 10% + 100% Loan **(1)**
110% = 66,000 > 100% = 66,000 x 100/110 = **€60,000**. **(1)**
6,000 x 7/15 = 2,800 **due 01/01** **(2)**
6,000 x 8/15 = 3,200 **I & E** **(2)**

3. Bar Trading A/C for year ended 31/12/2021

	€	€
Sales (59,250 + 700 - 150)		59,800 **(1)**
- Cost of Sales		
Opening Stock	3,600 **(1)**	
+ Purchases (23,700 + 3,150 - 1,250)	25,600 **(1)**	
	29,200	
- Closing Stock	-5,000 **(1)**	
Cost of Sales		24,200
Bar Profit		35,600

4. Subscriptions

	€
Receipts	140,000
- Dishonoured cheque	-250 **(1)**
- Due 01/01	-2,500 **(1)**
- Life Membership (error)	-12,000 **(1)**
- Prepaid 31/12	-1,500 **(1)**
- Levies due 2020 (error)	-1,250 **(1)**
- Levy Reserve Fund (error)	-40,000 **(1)**
+ Subs due 31/12 (Dishonoured cheque)	250 **(1)**
I & E	82,750

5. Catering

Catering receipts		7,500 **(1)**
Catering purchases	4,500	
- Closing Stock	-700	-3,800 **(1)**
Profit **I & E**		3,700

6. Life Membership

	€	
01/01/2021 Balance		60,000
+ Subscriptions Error		12,000 **(1)**
		72,000
- Amortisation (15years)	**I & E**	-4,800 **(1)**
		67,200

7. Competition

Receipts	44,500	**(1)**
Prizes	-29,500	**(1)**
Profit	15,000	

8. Depreciation : Machinery

75,000 + 35,000 = 110,000 x 15% = 16,500 **(1)**

9. Depreciation : Clubhouse

200,000 x 2% = 4,000 **(1)**

10. General Expenses 25,000 - 2,150 = 22,850 **(1)**

4. Cash Flow Statement **(60 MARKS)**

(a) Reconciliation of operating profit to net cash flow from operating activities

(16 marks)

	€	
Operating profit	92,560	**(2)**
Depreciation charge for the year	33,000	**(2)**
Profit on sale of fixed assets	(25,000)	**(2)**
Amortization of goodwill	10,000	**(2)**
Decrease in bad debt provision	(60)	**(2)**
Increase in stock	(16,000)	**(2)**
Decrease in debtors	1,500	**(2)**
Increase in creditors	4,500	**(2)**
Net Cash inflow from Operating Activities	100,500	

Cash Flow Statement of Poulter plc for the year ended 31/12/2021 **(30 marks)**

Operating Activities	**€**		**€**
Net cash inflow from operating activities		**(1)**	100,500 (own figure)
Return on Investment and Servicing of Finance (1)			
Investment income received	5,100	**(2)**	
Interest paid	(12,500)	**(2)**	
Preference dividends paid	(4,000)	**(1)**	(11,400)
Taxation [1]			
Corporation tax paid		**(2)**	(34,800)
Capital Expenditure and Financial Investment (1)			
Payments to acquire fixed assets	(144,000)	**(2)**	
Receipts from sale of fixed assets	50,000	**(2)**	
Receipt from sale of investments	150,000	**(2)**	56,000
Equity Dividends Paid (1)			
Ordinary dividends paid		**(1)**	(18,000)
Net Cash outflow before Management of Liquid Resources and Financing			92,300
Management of Liquid Resources (1)			
Sale of short-term deposits		**(2)**	15,000
Financing (1)			
Repayment of debenture	(150,000)	**(2)**	
Receipts from the issue of shares	25,000	**(2)**	
Receipts from share premium	7,500	**(2)**	(117,500)
Decrease in Cash		**(1)**	**(10,200) ****

** accept correct figure only

Change in Cash/Bank position	**2020**	**2021**
Cash	1,400	1,200
Bank	6,500	(3,500)
	7,900	(2,300)
	-10,200	

Reconcilation of Net Cash Flow to movement in Net Debt **(6 marks)**

	€
Decrease in cash	-10,200
Decrease in liquid resources	-15,000 **(2)**
Repayment of debentures	150,000 **(2)**
Change in net debt	**124,800**
Net debt 01/01/2021	-252,100 **(1)**
Net debt 31/12/2021	-127,300 **(1)**

*** Net Debt**	**01/01/2020**	**31/12/2020**
Cash/Bank	7,900	-2,300
Debentures	-300,000	-150,000
Short-term deposits	40,000	25,000
	-252,100	-127,300

(b) **(8 marks)**

[any 3 points at 2 marks each]

(i) Outline the reasons why cash flow statements are prepared. **(6)**

> CFS are prepared in order to analyse cash inflows and outflows during the previous year.
> They are also prepared to emphasise to shareholders, etc., that profits do not equal cash.
> CFS are used to assess the liquidity of the business and as an aid to management in financial planning.
> To assist in predicting future cash flows.
> It is a legal requirement for all large private companies and all public companies. It is also highly recommended for all small and medium private companies.

(ii) What is a Financial Reporting Standard? **(2)**

A Standard is prepared by the regulatory authorities. It is best practice in accounting which allows accounts to be compared from year to year and from company to company.

Workings ** refers to missing figure(s)

1

Taxation A/C

Bank **	34,800	B/D	11,300
C/D	8,500	P & L	32,000
	43,300		43,300

2

Interest Payable A/C

Bank **	12,500	B/D	3,000
Bal C/D	2,500	P & L	12,000
	15,000		15,000

3

Investment Income A/C

B/D	350	Bank **	5,100
P & L	5,000	C/D	250
	5,350		5,350

4

Buildings A/C

B/D	650,000	Disposal **	35,000
Bank	100,000	C/D	715,000
	750,000		750,000

Provision for Depreciation A/C

Disposal **	10,000	B/D	41,000
C/D	53,000	P & L*	22,000
	63,000		63,000

Disposal A/C

Buildings	35,000	Depreciation**	10,000
Profit to P&L	25,000	Bank **	50,000
	60,000		60,000

Machinery A/C

Balance b/d	76,000		
Bank	44,000	Bal c/d	120,000
	120,000		120,000

Provision for Depreciation A/C

		Bal b/d	24,000
Bal c/d	35,000	P & L*	11,000
	35,000		35,000

* Depreciation charge for year = 22,000 + 11,000 = 33,000

			2021	2020
5	**Debtors**			
		14,400 x 100/96	15,000	
		15,840 x 100/96		16,500
	Bad Debt Provision		(600)	(660)

6	**Dividends**	22,000
	Preference Dividends: 100,000 x 4%	4,000
	Ordinary Dividends	18,000
		22,000

5. Ratio Analysis and Interpretation of Accounts **100 MARKS**

(a) 1. Cash Purchases **(10 marks)**

$\frac{\text{Crs} \times 12}{\text{Cr Purchases}} = 2.5$ **(2)**

$\frac{57{,}000 \times 12}{\text{CP}} = 2.5$

2.5 CP = 684,000
CP = 273,600 **(2)**

Opening Stock + Purchases - Closing Stock = Cost of Sales
> Purchases = Cost of Sales + Closing Stock - Opening Stock **(2)**

> P = 520,000 + 72,000 - 64,000
> P = 528,000 **(2)**

> **Cash Purchases** = Total Purchases - Credit Purchases
= 528,000 - 273,600
= € 254,400 **(2)**

2. Dividend Yield **(9 marks)**

$\frac{\text{DPS}}{\text{Market Price}} \times 100 = \frac{7.33 \times 100}{165} =$ **4.44%**

(2) **(2)** **(3)**

DPS = $\frac{\text{Ord Divs}}{\text{No. Shares}} = \frac{22{,}000}{300{,}000}$ = 0.07333336
= 7.33c **(2)**

3. Dividend Cover **(9 marks)**

$\frac{\text{EPS}}{\text{DPS}} = \frac{78.33}{7.33} =$ **10.69 times**

(2) **(2)** **(3)**

EPS = $\frac{\text{Earnings}}{\text{No Shares}} = \frac{235{,}000}{300{,}000}$ = 0.78333 **(2)**

Earnings = (239,000 - 4,000) = 78.33c

Alternatively:
Dividend Cover = $\frac{\text{Earnings}}{\text{Ord Dividends}} = \frac{235{,}000}{2{,}000} =$ **10.68 times**

(3) **(3)** **(3)**

4. Stock Turnover **(8 marks)**

$\frac{\text{Cost of Sales}}{\text{Average Stock}} = \frac{520{,}000}{1/2\ (64{,}000 + 72{,}000)} =$

(2) **(3)**

$= \frac{520{,}000}{68{,}000}$

= **7.65 times** **(3)**

5. Recovery Period @ payout rate **(9 marks)**

$$\frac{\text{Mkt Price}}{\text{DPS}} = \frac{165}{7.33}$$

(3) **(3)**

= 22.5102

= **22.51 years** **(3)**

Note: * FULL MARKS awarded for correct answer even if no workings or incorrect workings are shown.
***** Figures in brackets show breakdown of marks if answer is incorrect***

(b) **Title:** Report on the performance, state of affairs and prospects of Gourmet Plc. **(5 marks)**
To: Mr. Dan Kelly, Chairman Star Finance Ltd.
From: Peter Silke, Financial Consultant
Date: 16th April 2022
** [5 marks awarded for headings above including signature below*

Body of Report:

Performance

Profitability: **(6 marks)**

** The Return on Capital Employed has improved from 18% in 2020 to 26.56% in 2021**(1)**. This is a satisfactory trend and 26.56% is well-above the return from risk-free investments of, say 1% **(2)** and also well-above current lending rates of 7%. Star Finance Ltd should be happy as the company is operating efficiently and generating ample profits to repay loan interest. **(1)**

** Earnings per share has improved from 46c in 2020 to 78.33c in 2021 **(1)**. The trend is very positive and indicates that Gourmet Plc's earnings capacity has hugely improved. Star Finance Ltd. should be pleased with such strong performance from last year **(1)**.

Dividend Policy: **(4 marks)**

** The Dividend Cover has decreased slightly from 11.5 times in 2020 to 10.69 times in 2021**(2)**.
Star Finance Ltd. should still be well-satisfied that Gourmet Plc are retaining a very large portion of the profits within the company **(2)**.
This may indicate that the company is reinvesting funds in the company and is planning for the longer-term. However, there may be a concern that shareholders will become dissatisfied with the dividend return they are getting from profits.

State of Affairs

Liquidity: **(6 marks)**
The Quick ratio has dissimproved from 0.85:1 in 2020 to 0.72:1 in 2021**(1)**. The trend is a concern and 0.72:1 is below the accepted standard of 1:1. The figure means that it has 72c in liquid assets to pay every €1 it owes in the short-term**(1)**. This suggests that Gourmet Plc has a liquidity problem and may not be able to pay its debts as they fall due**(1)**. As a Debenture holder there is a real concern here that Gourmet Plc may be overtrading**(1)**, which could put loan repayments plus interest at risk.
It may need an injection of cash to enable it to pay its short term creditors, i.e. trade creditors and the bank overdraft.**(2)**

Gearing: **(6 marks)**
Capital Gearing has dissimproved from 38% in 2020 to 40.86% in 2021.**(1)** Though the trend is a slight concern Gourmet Plc is lowly geared **(1)** it would be deemed to be less risky as most of its long-term finance is coming from equity shareholders **(1)**. Star Finance Ltd should be satisfied with this.

Interest cover improved from 8 times in 2020 to 12.38 times in 2021**(2)**. This would suggest that Gourmet Plc is making ample profits to cover loan interest payments. Star Finance Ltd. again should be satisfied that this company will have no difficulty servicing its debts, provided it takes the necessary action to sort out its liquidity problem.**(1)**

** *Award marks within commentary provided it is consistent with student's own figure.*

Investment Policy: **(3 marks)**
Investments which cost the company €75,000 now have a market value of €95,000.**(1)** This would indicate good management of resources by the management of Gourmet Plc.**(1)**These investments could also be sold in order to pay off the debenture or to improve liquidity in the short-term. **(1)**

Fixed Assets/Security: **(3 marks)**
Tangible fixed assets are valued at €800,000 in the Balance Sheet**(1)**. One would need to ascertain does this reflect their true value and has depreciation been accounted for. However, as the Debentures are €300,000 it would appear that there is more than adequate security to cover the existing loans of €300,000. **(2)**

Prospects
Sector: **(6 marks)**
Gourmet Plc is a company which is in the supermarket business**(1)**. In the short-term**(2)** supermarkets are doing a great trade because with the effects of the Covid 19 pandemic many people are all doing all their shopping under the one roof, both in person and online. In the long-term **(2)** the future looks positive as many people will continue to support supermarkets with the services they now provide such as online ordering, delivery and for the most part employing local and friendly staff**(1)**.

**** Intangible Assets: **(3 marks)**
Intangible assets are valued at €50,000 in the Balance Sheet**(1)**. Star Finance Ltd. should be interested to know what this figure actually represents. Is it Goodwill or could it be a Patent of some kind which would have a value that is transferrable. **(2)**

Conclusion **(3 marks)**
While there is a concern over liquidity all the other ratios and information would suggest that Gourmet Plc is performing well**(1)** and is looking to expand into the future. As a debenture holder, Star Finance Ltd should be satisfied**(1)**with its investment in Gourmet Plc but should be keeping a close eye on the potential effects that the Covid19 pandemic**(1)** may have on the future prospects of the company.

Signed: *Peter Silke*
Peter Silke, Financial Consultant

**** *Other answers are also acceptable provided they are supported with relevant information.*
() *Breakdown of figures are given in brackets.*

(c) Differences between ordinary shares and preference shares **(10 marks)**
[any 3+3+4 marks]

1 Ordinary shareholders are the owners of a company
Preference shareholders are not owners but effectively lenders to a company.

2 Ordinary shareholders' dividends vary with profits and also the dividend policy of the company;
Preference shareholders get a fixed dividend.

3 Ordinary shareholders are the last to be paid dividends from available profits;
Preference shareholders are paid dividends before ordinary shareholders.

4 Ordinary shareholders have voting rights at meetings;
Preference shareholders have no voting rights at any meetings.

5 In the event of the liquidation of a company the preference shareholders would be paid the amount of their investment before ordinary shareholders.

* *any other valid points made by students are to be awarded relevant marks.*

Workings/Calculations

Gross Profit	=	840,000 - 520,000 = 320,000		
Operating Profit	=	239,000 + 21,000 = 260,000		
Earnings	=	239,000 - 4,000 = 235,000		
Ordinary Dividends	=	26,000 - 4,000 = 22000		
No. Ord Shares	=	300,000		
			2021	**2020**
ROCE	$\frac{260,000}{979,000}$ x 100%		26.56%	18%
Quick Ratio	$\frac{118,000 - 72,000}{64,000}$	=	0.72 : 1	0.85 : 1
Gearing	$\frac{300,000 + 100,000}{979,000}$ x 100%	=	40.86%	38%
Interest Cover	$\frac{260,000}{21,000}$	=	12.38 times	8 times
EPS			78.33c	46c
DPS			7.33c	4c
Dividend Cover			10.69 times	11.5 times

6. Correction of Errors and Suspense Account — 100 MARKS

(a) General Journal of Seamus Power — (50 marks)

		Dr (€)		CR(€)	
(i)	Bank	750	**(2)**		
	Creditors			800	**(2)**
	Discount	50	**(2)**		
	Creditors	800	**(2)**		
	Capital			800	**(2)**
	Being omission of dishonoured cheque issued by the firm and capital introduced to pay debt. **(1)**				
(ii)	Bank	250	**(2)**		
	Bad debt recovered			625	**(3)**
	Debtors	375	**(2)**		
	Being debt previously written off as bad recovered in full and due to be paid in Jan 2022. **(1)**				
(iii)	Creditors	425	**(3)**		
	Capital			400	**(2)**
	Discount			25	**(2)**
	Being omission of private debt owed to Power offset against business debt owed by Power. **(1)**				
(iv)	VAT	135	**(3)**		
	Creditors			2,135	**(2)**
	Purchases			135	**(2)**
	Suspense	2,135	**(2)**		
	Being correction of omission of private debt offset against a business debt **(1)**				
(v)	Provision for depreciation	1,900	**(2)**		
	Equipment			3,500	**(2)**
	Profit on disposal of equipment/discount received			150	**(3)**
	Creditors	3,500	**(3)**		
	Suspense			1,750	**(2)**
	Being the disposal of equipment to a creditor partially omitted and entered incorrectly in creditor's account. **(1)**				

* *If students have correct accounts and amounts but on incorrect sides allow one mark each.*

(b) Suspense A/C — (8 marks)

			Original difference	**(2)**	385
Creditors/Purchases (iv)	**(3)**	2,135	Prov for dep/Creditors	**(3)**	1,750
		2,135			2,135

(c) Statement of Corrected Net Profit **(12 marks)**

			€		€	
	Original profit				48,000	**(1)**
	ADD:					
**	Bad debt recovered (ii)		625	**(2)**		
**	Discount (iii)		25	**(2)**		
**	Purchases (iv)		135	**(2)**		
**	Profit on disposal of equipment (v)		150	**(2)**	935	
					48,935	
	LESS:					
**	Discount (i)		50	**(2)**	(50)	
	Corrected Net Profit	Accept correct figure only			48,885	**(1)**

** *Allow marks for student's own figure if consistent with journal entries.*
** *If entries completely wrong but transferred correctly from journal award one mark for each entry.*

(d) Balance Sheet of Seamus Power as at 31/12/2021 **(22 marks)**

		€		€	€	
Fixed Assets		**Cost**		**Dep**	**Net**	
Premises		250,000		24,000	226,000	**(1)**
Equipment	(-3,500) and (-1,900)**	12,500		1,300	11,200	**(2)**
Motor vehicles		30,000		6,000	24,000	**(1)**
		292,500		31,300	261,200	
Current Assets						
Stock		17,480	**(1)**			
Debtors	(+375) **	9,875	**(2)**			
Cash		3,650	**(1)**	31,005		
Creditors: (amounts falling due within 1 year)						
Creditors	(-385-800+800-425+2,135-3,500) **	9,035	**(4)**			
Bank	(-750-250) **	6,500	**(2)**			
VAT	(-135) **	4,215	**(2)**			
Expenses due		360	**(2)**	(20,110)		
Net Current Assets					10,895	
Total assets less current liabilities					272,095	
Financed By:						
Capital	(+800+400) **		**(2)**	241,200		
Net Profit		***	**(1)**	48,885		
				290,085		
Less Drawings			**(1)**	(17,990)	272,095	
					272,095	

*** Allow full marks to students' own figures from journal if used consistently.*
**** Accept student's own figure for Net Profit*

(e) **(8 marks)**

(i) A suspense account is used when there is a mistake in the accounts that prevents the trial balance from balancing.
The difference between the debit and credit side of the trial balance is entered in the Suspense account temporarily until the error is found and then corrected. **(4)**

(ii) An error of principle is where an item is posted to the correct side of an incorrect class of account. **(4)**
Example: buying a fixed asset is entered in the purchases account instead of the fixed asset account

Workings

(i)

Bank A/C			
		750	750

Provision for Depreciation A/C			
	750		
	50		**800**
	800		

Discount Received A/C			
		50	50

Capital A/C			
			800

(ii)

Bank A/C			
		250	

Bad Debt Recovered A/C				
			250	
			375	**625**

Debtors A/C			
		375	

(iii)

Creditors A/C			
		425	

Capital A/C			
			400

Discount Received A/C			
			25

iv)

Creditors A/C			
X	1,000	S/B	1,135
			2,135

Provision for Depreciation A/C			
S/B	**135**		

Purchases A/C			
X	1,135		
S/B	1,000		**135**

(v)

Equipment A/C			
			3,500

Provision for Dep A/C			
	1,900		

Disposal A/C			
	3,500		1,900
Profit	**150**		1,750
	3,650		3,650

Creditors A/C			
S/B	1,750		1,750
	3,500		

7. Incomplete Records — 100 MARKS

(a) Trading, Profit & Loss Account of Justin Johnston for the year ended 31/12/2021 — (50 marks)

		€		€	
Sales	W.4			280,970	**(6)**
Less Cost of Sales					
Opening Stock		25,000	**(2)**		
add Purchases	W.5	149,300	**(6)**		
		174,300			
Less Closing Stock	W.6	-34,800	**(4)**		
Cost of Sales				139,500	
Gross Profit				141,470	
Less Expenses					
General expenses	W.7	40,850	**(4)**		
Insurance	W.8	3,550	**(5)**		
College fees		8,000	**(4)**		
Light & heat	W.9	2,468	**(5)**		
Loan interest	W.10	3,600	**(5)**		
Depreciation: Premises	W.14	12,900	**(2)**		
Depreciation: Equipment	W.13	2,250	**(3)**		
Depreciation : Van	W.11	4,000	**(4)**	(77,618)	
Net Profit				63,852	

(b) Balance Sheet of Justin Johnston as at 31/12/2021 — (35 marks)

			€	€	€	
Intangible Assets						
Goodwill		W.1			26,300	**(2)**
Fixed Assets	**Cost**		**Dep**	**NBV**		
Premises	645,000		12,900	632,100	**(1)**	
Delivery Van	20,000		4,000	16,000	**(2)**	
Equipment	11,250		2,250	9,000	**(1)**	
	676,250		19,150	657,100		657,100
Total Fixed Assets						683,400
Current Assets						
Debtors		**(2)**	33,500			
Stock		**(1)**	34,800	** accept student's own figure		
Stock of Heating Oil		**(2)**	480			
Cash		**(2)**	470			
Bank		**(4)**	87,050			
Insurance prepaid ** accept student's own figure		**(2)**	1,400	157,700		
Less Creditors (amounts due within 1 year)						
Creditors		**(1)**	28,600			
Light & heat due		**(1)**	415			
Loan instalment due		**(1)**	30,000			
Loan interest due		W.10 **(2)**	1,300	(60,315)		
Working Capital						97,385
Total Net Assets						**780,785**

Financed By:				
Creditors (amounts falling due after 1 year)				
Loan				270,000 **(2)**
Capital 01/01/2021		**(1)**	450,000	
Add Capital Introduced		**(2)**	25,000	
			475,000	
Add Net Profit			63,852	
			538,852	
Less Drawings	W.12	**(6)**	(28,067)	510,785
Capital Employed				**780,785**

Workings

1 Goodwill

Capital Account at 01/01/2021

Assets:	€	
Premises	370,000	
Stock	25,000	
Debtors	41,900	
Cash	200	
Insurance prepaid	750	437,850
Liabilities:		
Creditors	11,500	
Wages due	2,650	14,150
		423,700
Paid (Capital)		450,000
Goodwill		26,300 **(2)**

2

Dr		**Cash A/C**	**Cr**
B/D	200	Lgts	105,000
Sales **	243,770	Purchases	83,000
		Expenses	43,500
		Drawings	12,000
		C/D	470
	243,970		243,970

3

Dr	Bank A/C		Cr	
Capital	450,000	Business	450,000	
Cash lgts	105,000	Equipment	15,000	
Debtors	45,600	Creditors	54,000	
Lotto win	25,000	Annual insurance	4,200	
Loan	300,000	College fees	14,000	
		Delivery van	20,000	
		Light & heat	3,150	
		Loan interest	3,200	
		Premises	275,000	
		C/D	87,050	**(4)**
	925,600		925,600	

4 **Sales:** Cash 243,770 + ** 37,200 = 280,970
(3) **(3)**

Dr	Debtors A/C		Cr
B/D	41,900	Bank	45,600
Sales **	37,200	C/D	33,500
	79,100		79,100

5 **Purchases**

Cash	83,000		**(2)**
+ Credit	71,100	**	**(2)**
	154,100		
- Drawings (400 x 12)	-4,800		**(2)**
	149,300		

Dr	Creditors A/C		Cr
Bank	54,000	B/D	11,500
C/D **	28,600	Purchases	71,100
	82,600		82,600

** In transit: 6,000 x 100/120 = * 5000 + 23,600 = 28,600

** Students can also exclude €5,000 from Control account and add at the end for both Purchases and Creditors.*

6 **Closing Stock**

@ 31/12/2021	29,800		**(2)**
add on: in transit	5,000	*(i.e. 6,000 x 100/120)*	**(2)**
	34,800		

7 **General Exps** Bank 43,500 **(2)**
- Wages due @ 01/01 -2,650 **(2)**
40,850

8 **Insurance** Bank 4,200 **(1)**
+ P/P @ 01/01 750 **(2)**
4,950
- P/P @ 31/12 -1,400 *i.e. 4,200 x 4/12* **(2)**
3,550

9	**Light & Heat**	Bank	3,150	**(1)**	
	+ due @ 31/12		415	**(1)**	
			3,565		
	- Stock @ 31/12		-480	**(1)**	
	Used		3,085		
	- Drawings		-617	*i.e. 3,085 x 20%*	**(2)**
			2,468		

10	**Loan Interest**	Bank	3,200	**(1)**	
	+ due @ 31/12		1,300 BS	**(2)**	
	Payable		4,500	*i.e. 300,000 x 6% x 3/12*	
	- Drawings		-900	*i.e. 4,500 x 20%*	**(2)**
			3,600		

11 Depreciation on Delivery Van

Cost	20,000	**(2)**
NBV @ 31/12	-16,000	**(2)**
Depreciation	4,000	

12 Drawings

Cash	12,000	**(1)**
Stock	4,800	**(1)**
L & H	617	**(1)**
College fees for son	6,000	**(1)**
Equipment	3,750	**(1)**
Loan Interest	900	**(1)**
	28,067	

13 Equipment

Bank	15,000	
Drawings	-3,750	
	11,250	
Depreciation x 20%	-2,250	**(3)**
NBV	9,000	

14 Premises

Balance @ 01/01	370,000	
Bank	275,000	
	645,000	
Depreciation x 2%	-12,900	**(2)**
NBV	632,100	

(c) Gearing Position position for 2021 **** **(15 marks)**

$$\text{Capital Gearing} = \frac{\text{Borrowings}}{\text{Capital Employed}} \times 100\%$$

$$= \frac{270{,}000}{780{,}785} \times 100\%$$

$$= \mathbf{34.58\%} \quad \textbf{(4)}$$

Note a student who uses the full €300,000 as borrowings would also be awarded full marks.

i.e. $\frac{300,000}{810,785}$ x 100%

= **37.00%**

Interest Cover = $\frac{\text{Operating Profit}}{\text{Interest}}$

= $\frac{63,852 + 3,600}{3,600}$ *> accept student's own figure*

= **18.74 times** **(4)**

The Capital Gearing ratio is 34.58% which means the firm is lowly geared. Most of the firm's finance is coming from the owner's funds, which is a less risky position for any firm to be in. It may also mean that it would be able to borrow more funds in the future should it need to do so. **(4)**

Interest cover is 18.74 times. This means that Johnston is making ample profits to meet its loan interest obligations. **(2)**

Overall Johnston's gearing position is satisfactory. **(1)**

**** *Full marks to be awarded to students who use own figures from balance sheet and prepare commentary based on those figures.*

8. Marginal Costing — 80 MARKS

Notes for Examiner

* *Accept student's own figure from previous calculations;*
* *Full marks for correct answer even if no workings shown;*
* *Accept student's own method, if different to that shown.*

Marginal Costing Statement

	€	€
Sales		1,250,000
- Variable Costs		(650,000)
Contribution		600,000
- Fixed Costs		(370,000)
Profit		**230,000**

Unit Contribution	€
Selling Price	500.00
Variable Cost p.u.	-260.00
Unit Contribution	**240.00**

Break-up of Costs

Cost	**Total (€)**	**FC**	**VC**	**VCpu**	
Direct Materials	187,500	0	187,500	75.00	
Direct Labour	312,500	0	312,500	125.00	
Factory O/H's	400,000	300,000	100,000	40.00	
Selling expenses	75,000	25,000	50,000	20.00	*19 (part c) 21 (part e)*
Administration expenses	45,000	45,000	0	0.00	
	1,020,000	**370,000**	**650,000**	**260.00**	

(a) **(15 marks)**

Breakeven = $\frac{\text{Fixed Costs}}{\text{Unit Contribution}}$ = $\frac{370{,}000}{240.00}$ = 1,541.67 **(9)**

(3) **(3)** **(3)** **i.e. 1,542 units**

Margin of Safety = Sales - B/E = 2,500 - 1,542 = **958 units** **(6)**

(2) **(2)** **(2)**

(b) **Target Profit = 230,000 X 115% = 264,500** **(10 marks)**

Units Req'd = $\frac{\text{Target Profit + Fixed Costs}}{\text{Unit Contribution}}$ = $\frac{264{,}500 + 370{,}000}{240.00}$

(3) **(3)**

= 2,643.75 **(3)**

= **2,644 units** **(1)**

(c) **Sales - Variable Costs - Fixed Costs = Profit** **(10 marks)**

Selling Price = €475; FC = €444,000; VC = €259.00; Volume = 2,750 units.

2,750(475) - 2,750(259) - 444,000 = Profit **(4)**

Profit (Loss) = 1,306,250 - 712,250 - 444,000 **(3)**

> Profit = € 150,000 **(3)**

(d) **Let X = Selling price** **(10 marks)**

Fixed costs = €407,000.

Sales - FC - VC = Profit

2,500X - 407,000 - 2,500(240 + 0.04[X]) = 230,000 **(3)**

2,500X - 407,000 - 600,000 - 100X = 230,000 **(2)**

2,400X = 230,000 + 407,000 + 600,000 **(2)**

2,400X = 1,237,000 **(2)**

X = 515.4166 **i.e. Selling Price = €515.42** **(1)**

(e) **S.P. = €525; VC = €261** **(10 marks)**

let X = no. of units

525X - 261X - 370,000 = 20% (525X) **(3)**

264X - 370,000 = 105X **(3)**

159X = 370,000 **(3)**

X = 2,327.04 **ie. 2,328 units** **(1)**

(f) FC = €470,000; VCpu = €235; Volume = 3,000 units. **(10 marks)**
Unit contribution = 500 - 235 = 265

Marginal Costing Statement

		€	
Sales	[3,000 x 500]	1,500,000	**(1)**
- Variable Costs	[3,000 x 235]	(705,000]	**(2)**
Contribution		795,000	
- Fixed Costs		(470,000)	**(2)**
Profit		325,000	**(1)**

Comment: *(any 2 x 2)* **(4)**

* Profit increases by €95,000;
* B/E increases to 1,774 units (470,000/265), more risky
* If variable cost per unit reduces by €25.00, would there be any danger to product quality?

(g) (i) Factors Xander Ltd needs to take into account when deciding on budgeted sales.(10 marks)
(first 1 x 4m & any 2 x 3m)

1 The state of the economy, in the early stages during the pandemic golf clubs suffered as a result of being closed. As a result no golf was being played and there was no demand for golf equipment. In more recent times golf, like all sports, can be played safely and as a result there has been a big demand for golf equipment and accessories. This could lead to an increase in sales in 2022.
2 Analysing the sales figures for the previous 3 years;
3 Carrying out market research by interviewing in golf clubs, golf shops and checking out golf magazines;
4 Seeking opinions of sales managers, sales representatives and golf professionals;
5 Analysing trends and demand for electric golf trolleys over a number of years.
6 Analysis of competitors' figures if available.

(ii) Differences between Financial (FA) and Cost & Management (CMA) accounting (5 marks)
(any 1 x 3m, any other 1 x 2m)

1 **FA** is concerned with historical information when preparing accounts.
CMA looks forward when preparing forecasts and budgets.

2 **FA** is compulsory by law - companies must prepare Trading, Profit & Loss A/C's.
CMA is optional, companies use information to help with decision-making.

3 **FA** must adhere to strict guidelines when being prepared as regards presentation.
CMA can be laid out in any way that management require.

4 **FA** reports are prepared for external readers such as shareholders, bankers, stockbrokers, etc.
CMA are prepared for internal managers, perhaps every day.

9. Budgeting — 80 MARKS

(a) Production Budget — (11 marks)

		July	August	Sept	Oct	Nov
	Sales	150 (1)	175 (1)	190 (1)	230 (1)	250
W1	+ Closing Stock	140 (1)	152 (1)	184 (1)	200 (1)	240
		290	327	374	430	490
	- Opening Stock	0	-140 (1)	-152 (1)	-184 (1)	-200
	Production units	**290**	**187**	**222**	**246**	**290**

(b) Raw Materials Purchases Budget — (13 marks)

		July	August	Sept	Oct	Nov
**	Production units	290 (½)	187 (½)	222 (½)	246 (½)	290
	Materials (kg) per unit	x 4 (½)	x 4	x 4	x 4	x 4
**	Total kgs req'd for Prod	1160 (½)	748 (½)	888 (½)	984 (½)	1160
** W2	+ Closing Stock	187 (½)	222 (½)	246 (½)	290 (1)	
		1,347	970	1134	1,274	
**	- Opening Stock	0	- 187 (½)	- 222 (½)	- 246 (½)	
**	Req'd Purchases (kgs)	**1,347** (½)	**783** (½)	**912** (½)	**1,028** (½)	
	Price per kg (€)	3.00 (½)	3.00	3.00	3.00	**Total**
**	Total Purchases (€)	**4041** (½)	**2349** (½)	**2736** (½)	**3084** (½)	**€ 12,210**

*** Accept student's own figure(s) if consistent with previous work.*

(c) Cash Budget – July to Oct — (36 marks)

		July	Aug	Sept	Oct	Total
Receipts						
Sales W3	Cash	8,640 (1)	10,080 (1)	10,944 (1)	13,248 (1)	**42,912**
	One Month Credit	0	9,450 (1)	11,025 (1)	11,970 (1)	**32,445**
	Two Months Credit	0	0	4,050 (1)	4,725 (1)	**8,775**
**	Equipment Loan	0	0	18,000 (1)	0	**18,000**
		8,640	19,530	44,019	29,943	**102,132**
Payments						
***	Purchases	0	3960 (1)	2302 (1)	2681 (1)	**8943**
	Wages	0	3,500 (1)	3,500 (1)	3,500 (1)	**10500**
W4	Sales commission	0	450 (1)	525 (1)	570 (1)	**1545**
*** W5	Variable overheads	1740 (1)	1122 (1)	1332 (1)	1476 (1)	**5670**
W6	Fixed overheads	11,850 (1)	11,850 (1)	11,850 (1)	11,850 (1)	**47,400**
	Equipment			19,500 (1)		**19500**
W7	Loan Interest			90 (1)	90 (1)	**180**
W8	Overdraft Interest		33 (1)	42 (1)	10 (1)	**85**
		13,590	20,915	39141	20177	**93823**
	Net Cash	-4,950	-1,385	4,878	9,766	**8,309**
** Loan can also be shown here						
	Opening Cash	0	-4,950 (1)	-6,335 (1)	-1,457 (1)	0
	Closing Cash	-4,950	-6,335	-1,457	8,309	**8,309**
Alternative						
**	Net Cash	-4,950	-1,385	-13,122	9,766	**-9,691**
	Bank Loan			18,000		**18,000**
	Opening Cash	0	-4,950	-6,335	-1,457	**0**
	Closing Cash	-4,950	-6,335	-1,457	8,309	**8,309**

*** Accept student's own figure(s) if consistent with previous work. Note: There is no marks for figures in 'Total' column*

(d) Budgeted Trading, Profit and Loss Account for the 4 months ended 31/10/2022 **(14 marks)**

			€	€	€	
	Sales				111,750 **(1)**	
Less: Cost of Sales						
	Opening Stock			0		
	+ Purchases			12,210 **(1)**		
				12,210		
**	- Closing Stock – Finished Goods		10,000 **(1)**			
	Raw Materials		870 **(1)**	-10,870	(1,340)	
	Gross Profit				**110,410**	
	Other Income					
	Discount received			**W10 (1)**	183	
					110,593	
Less: Expenses						
	Wages			14,000 **(1)**		
	Sales commission		**W4**	2,235 **(1)**		
	Variable O/H		**W5**	5,670 **(1)**		
	Fixed O/H		**W6**	47,400 **(1)**		
	Depreciation – Equipment		**W6**	600 **(1)**		
	Discount Allowed		**W9**	1,788 **(2)**	-71,693	
	Operating Profit				**38,900**	
	Interest *		**W7 & W8**	*	-265 **(1)**	
	Net Profit				38,635 **(1)**	***
					correct figure only	***

* *Interest does not have to be shown as a separate expense in management accounts*
Accept student's own figure if consistent with previous work.Note: Layout of P&L account may vary.

** *Closing Stock valuation: Finished goods =200 x 50 = 10,000* ***[250 x 80% x 50]***
Raw Materials =290 x 3 =870

Alternative solution

Full marks also awarded to students who prepared a Manufacturing A/C and transferred the Cost of Production to the trading.

Budgeted Manufacturing A/C For 4 months ended 31/10/2022

		€	€
Direct Costs			
Raw Materials Opening Stock		0	
+ Purchases		12,210	
		12,210	
- Closing Stock (raw materials)		-870	11,340
Wages			14,000
Prime Cost			25,340
Indirect Costs			
Variable O/Hs		5,670	
Fixed O/Hs		47,400	
Depreciation – Equipment	**W6**	600	53,670
Cost of Production			**79,010**

Budgeted Trading, Profit and Loss Account for the 4 months ended 31/10/2022

	€	€
Sales		111,750
Less **Cost of Sales**		
Opening Stock	0	
Cost of Production	79,010	
	79,010	
Less Closing Stock (finished goods)	-10,000	69,010
Gross Profit		42,740
Other Income		
Discount received	**W10**	183
		42,923
Less Expenses		
Sales Commission	2,235	
Discount Allowed	1,788	
Bank Interest	265	4,288
Net Profit		38,635

(e) **Debtors 31/10/2022** **(2 marks)**

Sept Sales:	28,500 x 0.18	=	5,130	**(1)**
Oct Sales:	34,500 x 0.60	=	20,700	**(1)**
			€25,830	

Creditors 31/10/2022 **(1 mark)**

Oct Purchases	**€ 3,084**	**(1)**

Estimated value of Equipment at 31/10/2022 **(3 marks)**

Cost 01/07/2022	19,500	**(2)**
Accumulated depreciation [150 x 4]	-600	**(1)**
Value at 31/10/2022	**18,900**	

Workings:

1 Production Budget

Closing Stock: July > 175 x 80% = 140
Aug > 190 x 80% = 152, etc.

2 Raw Materials Purchases Budget

Closing Stock: July > 748 x 25% = 187
Aug > 888 x 25% = 222, etc

3 Cash Budget

Sales: July > July = 22,500 x 40% x 96% =	8,640	M0 = 0.384
July > Aug = 22,500 x 60% x 70% =	9,450	M1 = 0.42
July > Sept = 22,500 x 60% x 30%=	4,050 etc	M2 = 0.18

4 Sales Commission: July > Aug 22,500 x 2% = 450
Aug > Sept 26,250 x 2% = 525, etc.
P & L: 111,750 x 2% = 2,235

5 **Variable Overheads:** July > 290 x 6 = 1,740
Aug > 187 x 6 = 1,122 etc.

6 **Fixed Overheads**
Depreciation = 19,500 - 1,500 = 18,000
18,000 / 10 years = 1,800 per annum
1,800 / 12 months = 150 per month

July > 12,000 - 150 = 11,850 etc.

7 **Loan Interest:** 18,000 x 6% = 1,080 per annum
= 90 per month.

8 **Overdraft Interest:** August: 4,950 x 8% = 396 p.a. = 396/12 = **€33**
Sept: 6,335 x 8% = 506.8 p.a. = 506.8/12 = **€42**
Oct: 1,457 x 8% = 116.56 p.a. = 116.56/12 = **€10**

Budgeted Profit & Loss Account

9 **Discount Allowed**
Sales > 111,750 x 40% x 4% = 1,788

10 **Discount Received:**
Purchases > 4,041 + 2,349 + 2,736 = 9,126 x 2%
= 183